

# THE INVESTigator

A monthly newsletter published by Swap Global Ventures Pvt. Ltd., Nagpur

Vol 19 No.11

February 2023

**Unfortunately, only 11% of investors continue SIP's for more than 5 years.**

## AGE WISE ANALYSIS OF SIP ACCOUNTS

| SIP accounts continuing for | No. of SIP accounts | %   | AUM (₹ Cr) | %   |
|-----------------------------|---------------------|-----|------------|-----|
| > 5 yrs                     | 64,09,876           | 11  | 1,57,719   | 23  |
| > 4 yrs up to 5 yrs         | 51,82,138           | 8   | 73,336     | 11  |
| >3 yrs up to 4 yrs          | 48,38,025           | 8   | 84,360     | 13  |
| >2 yrs up to 3 yrs          | 65,41,816           | 11  | 1,00,037   | 15  |
| >1 yr up to 2 yrs           | 1,43,04,269         | 23  | 1,10,120   | 16  |
| Less than 1 year            | 2,38,87,207         | 39  | 1,49,094   | 22  |
| TOTAL                       | 6,12,42,531         | 100 | 6,74,666   | 100 |

- The above data which is as on 31 Dec 2022 proves that because SIP's do not show returns in one or two years, 60% investors stop continuing their SIP's.
- Historically, SIP accounts have given best returns only when SIP's are continued for 5 and more years. **This will remain true in future also.**

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## MF REDEMPTION PAYMENT CYCLE

(Effective 1<sup>ST</sup> February 2023.)

| Fund categories | Cut off time (PM) | Redemption payment cycle*     |
|-----------------|-------------------|-------------------------------|
| Debt            | 03:00             | Trade day plus 1 day (T+1)    |
| Equity          | 03:00             | Trade day plus 2 days (T+2)   |
| Hybrid          | 03:00             | Trade day plus 2 days (T+2)   |
| FoF Overseas    | 03:00             | Trade day plus 5 days (T+5)** |

\*Including switch-in from other schemes

\*\*In some cases, the redemption payment cycle for international funds is T+6 days

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# BUDGET 2023-24: CHANGES IN INCOME TAX

| OLD TAX REGIME |          | NEW TAX REGIME (PREVIOUS) |          | NEW TAX REGIME (REVISED) |          |
|----------------|----------|---------------------------|----------|--------------------------|----------|
| Income (₹)     | Tax rate | Income (₹)                | Tax rate | Income (₹)               | Tax rate |
| Upto 2.5 lakh  | Nil      | Upto 2.5 lakh             | Nil      | Upto 3 lakh              | Nil      |
| 2.5 to 5 lakh  | 5%       | 2.5 to 5 lakh             | 5%       | 3 to 6 lakh              | 5%       |
| 5 to 10 lakh   | 20%      | 5 to 7.5 lakh             | 10%      | 6 to 9 lakh              | 10%      |
| Above 10 lakh  | 30%      | 7.5 to 10 lakh            | 15%      | 9 to 12 lakh             | 15%      |
|                |          | 10 to 12.5 lakh           | 20%      | 12 to 15 lakh            | 20%      |
|                |          | 12.5 to 15 lakh           | 25%      | Above 15 lakh            | 30%      |
|                |          | Above 15 lakh             | 30%      |                          |          |

## **Prominent changes in the new tax regime**

- Income up to Rs 7 lakh in a financial year will be tax-exempt. The rebate limit under Section 87A has been increased from Rs 5 lakh to Rs 7 lakh.
- Tax slabs have been reduced to five. It was six earlier.
- The basic exemption limit has been enhanced from Rs 2.5 lakh to Rs 3 lakh.
- The benefit of standard deduction of Rs 50,000 to the salaried class has been extended to the new tax regime.

## **Annual Income of up to Rs 7 lakh.**

For people with an income of Rs 7 lakh or below, the new tax regime is a stress-free option, as it does not attract any tax up to this amount.

## **Annual Income above Rs 7 lakh.**

Most people will opt for old regime to make good use of the available deductions and exemptions.

Because, despite the lower tax rates, the new structure does not have many prominent deductions and exemptions, such as HRA, deductions under Sections 80C, 80D and interest on loan for house property.

**Each individual, based on his savings, will have to compare the calculations in both the regimes and select the beneficial one.**

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**Mutual Fund investments are subject to market risks, read all scheme related documents carefully.**



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